EXECUTIVE SUMMARY

1. Introduction

The Local Government Unit of Lal-lo is a first class municipality with a population of 50,755 based on a survey conducted by the Barangay Population Officers as of December 31, 2017. It has 35 barangays spread over 70,280 hectares. It is the fourth largest municipality in the Province of Cagayan in terms of land area.

Lal-lo, historically, was Cagayan Valley's first City. It was then named "Ciudad de Nueva Segovia" by Juan Pablo Carreon in 1581, visited by Juan Salcedo in 1572 and Luis Perez Dasmarinas in 1592. It was the capital of Cagayan up to 1839 and has been the first home of the 15th century image of our Lady of Visitation, now known as Our Lady of Piat.

Today, we have seen changes and countless achievements not only in terms of infrastructure projects but also on institutional and social aspects. This municipality has been a consistent winner on Solid Waste Management, Nutrition, Clean and Green in the Provincial, Regional as well as National level and the Seal of Good Housekeeping by the DILG. During the last quarter of 2016, the LGU was conferred the Seal of Good Local Governance, the highest award given by DILG to LGUs wherein it is the pioneer 1st class municipality to receive such award in the whole province. To include, the CSC RO2 had awarded LGU Lal-lo the Maturity Level 2 in Performance Management System under the Program Institutionalized Meritocracy and Excellence in Human Resource Management (PRIME-HRM). For 2017, the LGU was awarded the Red Orchid Award from the Department of Health for implementing a 100% tobacco-free environment and following the World Health Organization's (WHOs) "MPOWER" framework.

The audit covered the accounts and operations of the Municipality of Lal-lo, Cagayan for the year 2018 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the International Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and finds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audit were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Lal-lo, Cagayan for the year ended December 31, 2018, with comparative figures for calendar year 2017 are as follows:

Particulars	2018	2017	Increase(Decrease)	
			Amount	Percentage
Financial Position				
Assets	563,412,180.60	424,961,248.90	138,450,931.70	32.58
Liabilities	385,326,658.17	256,782,730.80	128,543,927.37	50.06
Govt. Equity	178,085,522.43	168,178,518.11	9,907,004.32	5.89
Financial Performance				
Income	224,929,669.56	211,897,726.03	13,031,943.53	6.15
Expense	187,256,839.52	166,383,656.24	20,873,183.28	12,.54
Appropriations, Allotments and Obligation				
Appropriations	400,121,660.71	353,048,385.76	47,073,274.95	13.33
Obligations	283,196,885.13	180,404,180.15	102,792,704.98	56.98

3. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the presentation of the financial statements of the Municipality of Lal-lo, Cagayan as at December 31, 2018 due to non-compliance of the Municipality with the transition provision on the phased recognition of the Local Road Networks in the books of accounts which requires 75% compliance at the end of calendar year 2018 as provided under Item IX of COA Circular No. 2015-008 dated November 23, 2015 due to incomplete Local Road Inventory Report, thus casts doubt on the fair presentation of the "Road Network" account amounting P17,067,171.20 as at December 31, 2018.

4. Significant Findings and Recommendations

Below is the recommendation on the above-stated basis for qualified opinion:

a. We recommended that the Municipal Mayor direct the:

1. Municipal Engineer to provide the Municipal Accountant and the GSO with the complete description and cost segregation of the components of all roads within its area of jurisdiction;

2. Municipal Accountant to:

a) Record amount of road networks equivalent to the required transition provision percentage every year starting 2016 up to 2019, based on the Local Road Inventory Report provided with complete description and cost segregation of the road components;

b) Provide proper disclosure of the road networks in the Notes to Financial Statements; and

c) Prepare lapsing schedule for the computation of depreciation expense for each road component at the end of the year.

3. Inventory committee to conduct inventory of local roads, highways and bridges within its area of jurisdiction which were acquired thru purchase or construction, donations or transfers without cost.

The other significant audit observations and recommendations are the following:

a. Medical supplies inventory as of December 31, 2018 consisting of 29,302 bottles, tablets and capsules of drugs and medicines were not recorded in the books of the Municipality contrary to the provisions of IPSAS 12, hence, inventory account was understated and available resources are not properly presented in the financial statements.

   We recommended that the LGU recognize the acquired drugs and medicines as assets whether through purchase or donation and to recognize expense only upon the actual distribution of the goods. In addition, Management shall maintain record of its inventory for drugs and medicine and include the same in the conduct of physical count. Furthermore, the accounting department shall make necessary adjustment to correct the misstatement.

b. Current portions of long-term financial liabilities totalling to P8,261,151.39 were not presented separately in the financial statements of the Municipality, contrary to Sections 70 and 71 of IPSAS Volume I, thus, the financial statements do not provide information about the agency's ability to meet its currently maturing obligations.

   We recommended that Management instruct the Municipal Accountant to reclassify of the current portion of the account "Financial Liabilities" to present the obligations falling due in the next twelve months in accordance with Sections 70 and 71 of IPSAS Volume I, to present information about the agency's ability to meet its currently maturing obligations thus enable the municipality to effectively allocate its financial resources and fairly present the account's balance in the financial statements.

c. Various expenses amounting to P13,529,103.50 were classified as "Other Maintenance and Operating Expenses" account instead of the appropriate expense accounts contrary to Annexes A and B of the COA Circular No. 2015-009 dated December 1, 2015 resulting in the overstatement of the "Other Maintenance and Other Operating Expenses" account and understating other appropriate expense accounts in the financial statements.

We recommended that the Municipal Accountant refrain from recording expenses under the "Other Maintenance and Operating Expenses" account for which specific accounts have been provided in the Revised Chart of Accounts for LGU's as prescribed in COA Circular No. 2015-009 dated December 1, 2015, thereby fairly present the actual expenditures under their proper accounts in the financial statements.

5. Summary of Total Suspensions, Disallowances and Charges

Suspensions and Disallowances amounting to P25,130,000.00 and P420,000.00 respectively, remained unsettled as of December 31, 2018.

Settlement of Suspensions and Disallowances is shown on table below:

Particulars	Beginning Balance (As of January 01, 2018)	This Period January 01 – December 31, 2018 (See B Below)		Ending balance (As of December 31, 2018)
		NS/ND/NC	NSSDC	
Notice of Suspension	25,130,000.00	-	-	25,130,000.00
Notice of Disallowance	420,0000.00	-	-	420,0000.00
Notice of Charge	-	-	-	-
Total	**P25,550,000.00**	-	-	**P25,550,000.00**

The disallowance has become final and executory and has been issued COA Order of Execution (COE) dated October 26, 2018 and was also duly received by Management on even date.

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the eight (8) audit recommendations of last year's report, three (3) were fully implemented, three (3) were partially implemented and two (2) were not implemented as at year-end.